HEALTHIER LONGER BETTER LIVES

Healthier, Longer, Better

AIA GROUP
2020 Report

Code 1299

Our Goals

Our goals

Help the public achieve healthy,

sustainable living.

About AIA

AIA Group Limited and its subsidiaries ("AIA" or "the Group") is the largest pan-Asian independent listed life insurer, 18 markets: mainland China, Hong Kong SAR, Thailand, Singapore, Malaysia, Australia, Cambodia, Indonesia, Myanmar, Philippines, South Korea, Sri Lanka, Taiwan, Vietnam, Brunei, Macau SAR, New Zealand with wholly-owned branches & subsidiaries, 49% stake in India joint venture.

AIA's business success today traces back to origins in Shanghai, 1919.
By life premiums, leading in Asia ex-Japan), leading in most markets
As of Dec 31, 2020, the Group total assets: USD 326B.

AIA offers a range of products and services, life, accident & health insurance, savings plans,

Also serves corporate customers with employee benefits, credit insurance, retirement protection services. Extensive network of dedicated agents, partners & employees serving 38M+ individual policyholders & 16M+ group insurance plan participants.

AIA Group Limited listed on Hong Kong Stock Exchange Limited (stock code: "1299"); ADRs (Level 1) OTC market (ticker: "AAGIY").

Note:

(1) Term definitions & abbreviations in Glossary section.

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AIA at a Glance

Only global company:
HQ in Hong Kong, listed in Hong Kong, 100% Asia-focused

international life insurer

Largest company listed on Hong Kong Stock Exchange, HK registered with HK headquarters

Million Dollar Round Table Global Leader

Only multinational leading Million Dollar Round Table membership 6 years running

Serving 38M+ individual policyholders and 16M+ group insurance participants

Global Reach

Protecting Asia: USD 2T coverage across 18 markets

2020: Paid USD 16B+ in benefits and claims, providing essential financial support

免费义诊

快速 全国专家24小时在线义诊
科学区分普通感冒和肺炎疫情

安全 减少挤医院交叉感染几率
减轻线下医院负荷

免费 在线咨询费用全免
患者没有经济负担

Virtual COVID-19 Clinic

บริการปรึกษาแพทย์ออนไลน์ สำหรับผู้มีอาการต้องสงสัยโรคโควิด-19

AIA สมิติเวช SAMITIVEJ truedigital

AIA helps people achieve healthy, long, fulfilling lives.

In 2020, COVID-19 brought unprecedented risks to our communities.

We responded swiftly with medical supplies

and free insurance for frontline healthcare and sanitation workers

to ease their burden during pandemic response.

We provided free COVID-19 coverage to over 25 million policies

and offered $1 billion in premium support across 12 markets.

We paid over $16 billion in benefits and claims,

providing essential financial support. The pandemic continues,

and we remain committed to supporting our communities.

AIA founded by Starr

Mr. (Cornelius Vander Starr)

Est. 1919, Shanghai

Now world's largest Pan-Asia

Independent listed life insurer, 18 markets

38M+ individual policyholders

16M+ group insurance members

plan members.

Our contributions support the social and

Expand life insurance coverage in Asia

Long-term customer & agent relationships

Proud partnerships with stakeholders

long-term relationships, which often transcend

generations

Positive impact for customers & communities

Help people live healthier, longer lives

Goal: healthier, longer, better lives

guide our decisions and work as an institution

Help understand & manage health

Meet savings & protection needs

Most important work: community support

Support economic development

helping create a healthier Asia.

2020 Milestones

AIA commits $100M to AIA Scholarship

AIA launches AIA Scholarship, commits to $100M invested, annual support for decades

100 undergrads from HK universities

Supports outstanding students serving society; those needing financial aid to continue their studies.

AIA establishes life insurance subsidiary in mainland China

Oct 2020: AIA converts mainland business into first life insurance subsidiary; approval obtained June 2020. March 2021: CBIRC approval received to operate in Sichuan Province

AIA #1 in MDRT for 6th consecutive year

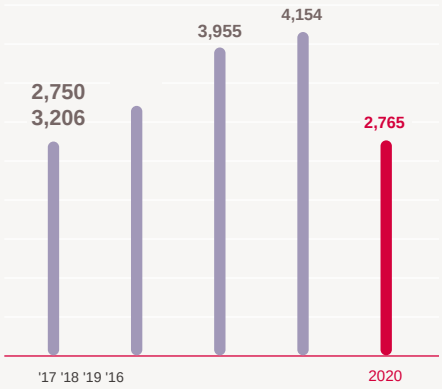
Only multinational with most MDRT members 6 years running

MDRT®

2020 Performance(1)

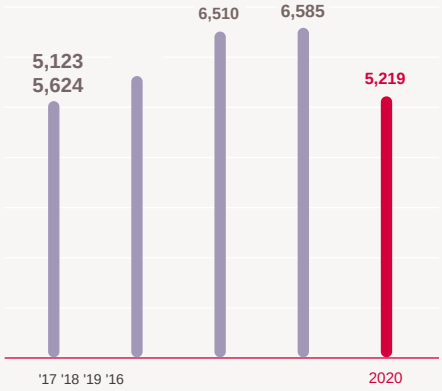
NBV(2)(8)

US$M



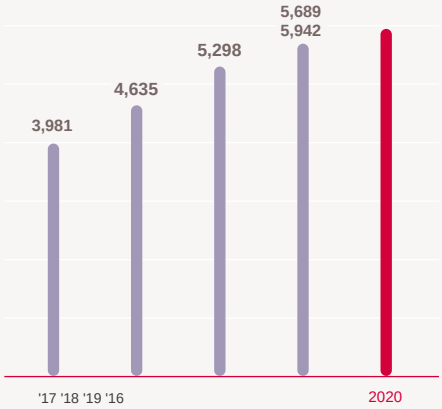
ANP(3)(8)

US$M

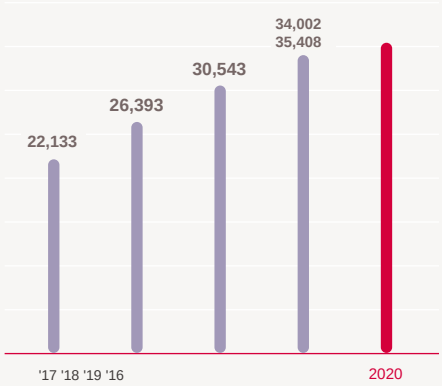


Op. Profit After Tax(4)(9)
Total Weighted Premiums(5)

US$M

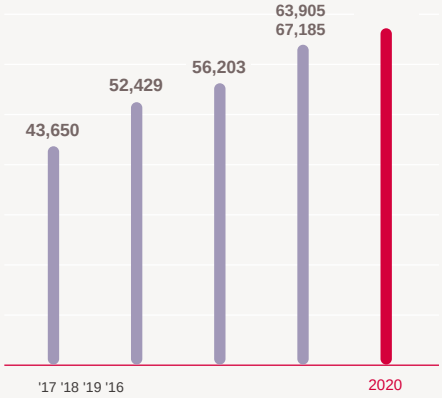


US$M

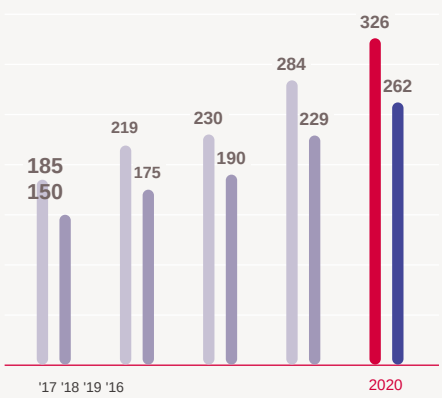


EV Equity(6)
Total Assets & Liabilities(9)

US$M

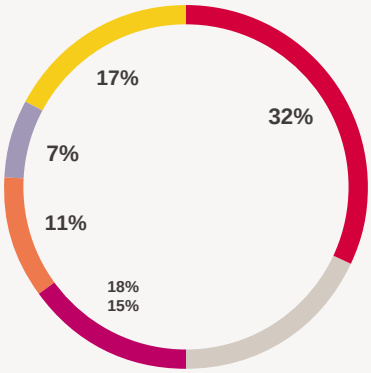


US$B

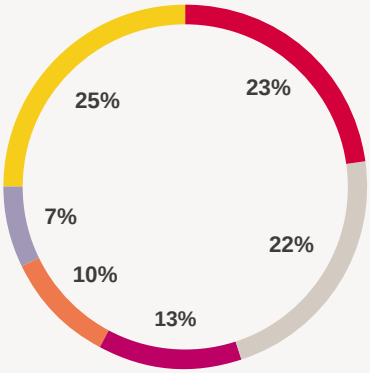


2020 Market Segment

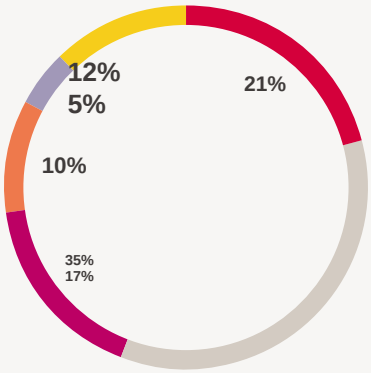
New Business Value(2)(7)



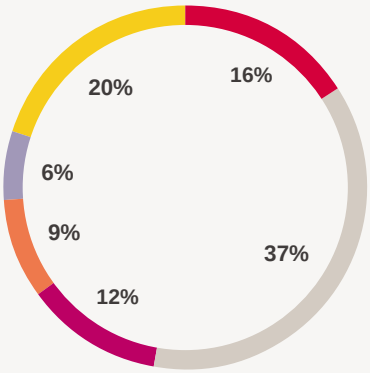
Annualized New Premium(3)



Operating Profit After Tax(4)



Total Weighted Premium(5)



Notes:

(1) From 2017 onwards, financial information is reported on a financial year ended 31 December basis. Financial information for 2016 was reported on a financial year ended 30 November basis.

(2) New Business Value is the present value of estimated after-tax statutory profits expected to be generated by new business sold during the period, calculated at the time of sale, less the cost of capital required to support the new business in excess of statutory reserves.

(3) Annualized New Premium measures new business volume: 100% of annualized first year premiums plus 10% of single premiums, before reinsurance ceded.

(4) Operating profit after tax is net of non-controlling interests.

(5) Total Weighted Premium Income includes 100% of renewal premiums, 100% of first year premiums, and 10% of single premiums, before reinsurance ceded.

(6) Embedded Value is the estimated economic value of life insurance business using actuarial methods based on specific assumptions about future experience, excluding future new business value. Embedded Value equity equals embedded value plus goodwill and intangible assets.

(7) New Business Value includes retirement business on local statutory basis, before unallocated group head office expenses and non-controlling interests.

(8) From 2019 onwards, annualized new premium and new business value for other markets include our share of results from our 49% stake in Tata AIA Life Insurance Company Limited (Tata AIA Life). Annualized new premium and new business value reported for 2018 and prior have not been restated and do not include any contribution from Tata AIA Life. From 2019 onwards, the Group's new business value excludes new business value attributable to non-controlling interests. New business value for 2018 and prior has not been restated and, as previously disclosed, was not adjusted for non-controlling interests. Tata AIA Life's IFRS results are accounted for using the equity method. The Group's consolidated financial statements use Tata AIA Life financial information on a one-quarter lag basis. For clarity, total weighted premium income does not include any contribution from Tata AIA Life.

(9) AIA has changed its IFRS accounting treatment for the recognition and measurement of insurance contract liabilities for Hong Kong participating business to reflect expected changes in policyholder dividends. Comparative information for 2019 has been adjusted. Comparative information for 2018 and prior has not been restated.

Chairman's Report

Over the past century, AIA

earned recognition across Asia for serving communities in need

with our essential services,

which makes us proud.

During the COVID-19 pandemic,

our colleagues cared for communities and fulfilled their duties,

supporting millions of customers

without interruption.

AIA has a long history in Asia, successfully managing through social upheavals and uncertain periods, earning an outstanding reputation reflecting AIA's trustworthiness, resilience, and commitment to stakeholders. Since early 2020, COVID-19 has created complex business conditions with unprecedented shifts in political, macroeconomic, and capital markets. In this context, AIA's financial strength and mission to help people live healthier, longer, better lives are more vital. I thank all AIA employees, agents, and partners who, despite severe challenges, care for communities and dedicate themselves to customers, their families, and our communities.

COVID-19 control measures impacted new business sales; new business value declined to USD 2.765 billion. We quickly adopted digital tools to boost efficiency. With relaxed restrictions, sales momentum recovered strongly into early 2021.
New business value in early 2021 grew 15% versus prior year.

After-tax operating profit grew 5% to USD 5.942 billion; free surplus rose 7% to USD 5.843 billion, reflecting high-quality recurring earnings. Embedded value equity reached USD 67.2 billion. As of December 31, 2020, local capital coverage ratio was 374%, demonstrating strong capital and prudent financial management.

Board recommends final dividend of HKD 100.30 per share, up 7.5%, reflecting solid performance and confidence in the Group's future prospects. Full-year 2020 dividend: HKD 135.30 per share. Board maintains AIA's prudent, sustainable, and progressive dividend policy, enabling growth while maintaining financial flexibility.

Q4 2020 marked AIA's 10th listing anniversary on HKEX. The IPO set multiple records and remains the largest insurance industry IPO globally to date. I am honored and gratified to work alongside our Board members. AIA's the world's largest life insurer by market cap.

All non-executive Directors are independent with extensive governance experience across sectors. We remain committed to highest governance standards and sound risk management?foundations for sustainability.

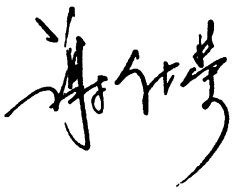
Strong governance underpins institutional sustainability.

Key Board responsibility: ensuring leadership talent and succession planning. Mr. Lee Yuen Cheung joined June 1, 2020 as Group CEO and President, succeeding Mr. Wong King Fai. We thank Mr. Lee and his team for outstanding leadership amid unprecedented challenges. We also thank Mr. Wong for his excellent leadership and contributions to AIA.

ESG issues are increasingly critical globally. We drive positive change, and our ESG initiatives earned recognition in 2020. Sustainalytics ranked AIA 2nd among 270+ insurers, reflecting strong governance. We also maintain ISS "Prime" ESG rating.
Inc. (ISS), recognizing us as one of the industry's best performers in sustainable development.
We must do more for community impact. This priority unites the Board and myself.
senior management and all our employees.

Customer demand for AIA's products and advice is stronger than ever. Our strategy leverages Asia's robust structural growth: unprecedented wealth creation, expanding protection gaps, shifting preferences, digital adoption, and sustainability focus. AIA is well-positioned to capture significant regional opportunities, securing families' futures while creating shared stakeholder value.

AIA's growth since listing reflects customer and shareholder trust. On behalf of the Board, I thank you for your continued support.



Tse Sze Wing

Independent Non-Executive Chairman

12 March 2021

Growth rates at constant exchange rates show clearer year-on-year performance.

CEO & President's Report

AIA delivered exceptionally strong results, reflecting outstanding team performance. I'm proud of how our employees have responded swiftly and flexibly to the changing environment. With unwavering commitment, we helped customers navigate uncertainty while accelerating strategic initiatives.

Mr. Lee Yuen Shing
CEO & President

AIA is a trusted partner for financial security and family protection. Despite COVID-19's impact, I thank our employees, agents, and partners for adapting to new ways of working and ensuring uninterrupted support. They demonstrated flexibility and dedication.

Since the pandemic began, our teams responded swiftly, helping communities while ensuring employee safety. The Group implemented comprehensive measures: financial support, medical supplies, complimentary coverage, healthcare access, streamlined processes, and accelerated claims payments. We paid over USD 16 billion in benefits and claims, providing essential financial protection.

COVID-19 measures reduced new business value to USD 2.765 billion, but sales turned positive as restrictions eased, with strong momentum in early 2021, showing 15% year-on-year growth in the first two months. Our large, growing policy portfolio provides high-quality recurring income, driving a 5% increase in after-tax operating profit in 2020, with basic free surplus growing 7%. As of December 31, 2020, embedded value equity reached USD 67.2 billion, with Group capital adequacy at 374%, demonstrating strong capital position and prudent financial management.

The Board recommends a 7.5% dividend increase to HKD 1.0030 per share, reflecting AIA's prudent, sustainable, progressive dividend policy, enabling future growth while maintaining financial flexibility.

AIA has significant competitive advantages. With decades in Asia, we hold unparalleled market positions and lead in most markets. Our 100% Asia focus helps capture global growth opportunities. most attractive life insurance region. This focus, combined with our leadership's extensive Asia experience and our talented workforce, has been key to our strong performance.

Our distribution strength provides direct customer access and professional advice for Asia's growing protection and savings needs. Customers expect sustainable solutions. AIA has a market-leading brand built on helping people live healthier, longer, better lives.

We aim to lead globally in technology application, enhancing connectivity, scale, and efficiency. Deeper data analytics insights help creating unique, personalized experiences. Tailored products and services have transformed how people view life insurance, building strong long-term customer relationships.

Though 2020 was unprecedented, I'm more optimistic about Asia's life insurance and AIA's future. We continue challenging ourselves, developing priorities to meet evolving customer needs. Our new strategy builds on AIA's existing strengths, driving transformation to deliver the best service to customers in the future.

2020 Performance Summary

AIA China delivered largest NBV contribution in 2020, excelling early 2021 vs. prior year.
First two months showed strong NBV growth. 2020 NBV of USD 968M down 17% from 2019, mainly due to limited Q1 sales post-COVID outbreak. Operating profit after tax +14%, driven by growing in-force portfolio and favorable claims.

2020: Regulatory approval to convert Shanghai branch to China's first wholly foreign-owned life subsidiary. March 2021: Approved to operate in Sichuan Province. 6th largest by GDP, 4th by population?major long-term growth opportunity.

Hong Kong travel restrictions (Feb 2020) halted mainland visitor sales, sharply declining NBV.
H2 agent channel achieved double-digit local growth vs. H1, maintaining market leadership. Partner channel NBV significantly lower than 2019 due to reduced mainland visitor sales via retail IFA. Operating profit +10%, benefiting from strong renewal premiums and favorable claims.

Thailand: Strong H2 performance. Full-year NBV -4%, but monthly trends positive as restrictions eased.
H2 NBV +33% vs. H1.

Singapore: H2 NBV +56% vs. H1, +12% YoY. Full-year NBV
-5% due to border controls impacting overseas partner business. Operating profit rose 8%.

Malaysia: Full-year NBV -13%, reflecting H1 movement restrictions. H2 recovered, up
72% vs. H1.

Other markets: H2 NBV +10% vs. H1, with positive recoveries in South Korea and Indonesia. Overall NBV
-4% full year, mainly New Zealand, Philippines, Indonesia declines. Other markets positive, including Vietnam, Taiwan, India with double-digit 2020 growth vs. 2019.

Agent channel: Online recruitment/onboarding drove double-digit growth in new agents and managers.
Pandemic restrictions limited face-to-face meetings, causing 28% NBV decline, but easing restrictions and digital tools drove strong H2 rebound. Positive momentum continued into 2021, with agent business showing very strong NBV growth in first two months vs. 2020.

Mainland visitor restrictions impacted retail IFA, causing 41% partner channel NBV decline in 2020.
Bancassurance delivered resilient results, contributing majority of channel NBV. Indonesia partnerships with Bank Central Asia (BCA), Thailand's Bangkok Bank Public Company Limited and Malaysia's Public Bank Berhad all recorded positive new business value growth in 2020.

People First

AIA's 23,000 employees are key to our competitive advantage and success. We foster inclusion and collaboration, learning culture, enabling meaningful careers at AIA. With social distancing measures, we moved learning online to "AIA Learning Hub". AIA Leadership Centre in Bangkok redesigned and launched our flagship leadership program with 100+ fully virtual modules. Participants gave highly positive feedback, matching in-person learning experiences.

Our annual employee engagement survey measures collective efforts to support our workforce. In 2020, 97% participated; our engagement score hit an all-time high, ranking 88th percentile vs. Gallup's global benchmarks. Additionally, AIA was named to Forbes' "World's Best Employers 2020" list.

October 2020: AIA marked 10 years on Hong Kong Stock Exchange, launching "AIA Scholarship" with USD 100M commitment to support 100 HK university undergrads annually, nurturing future business leaders.

Core to "Organisation of the Future" strategy: streamline structure, enable flexible work, enhance capabilities, supporting career development and strengthening AIA as employer of choice.

From H2 2020, we piloted transformation in Singapore and Vietnam. Early results: streamlined, customer-centric operations with flexible work and cross-functional expert teams.
We'll pilot and learn before scaling "Organisation of the Future" across other operations.

ESG

For over a century, AIA has positively impacted Asian customers' lives. Our communities face major ESG challenges: climate change, pollution, lifestyle diseases. The pandemic has underscored their complexity. As a lifetime partner, we're committed to a better, more sustainable future.

AIA participates in the Task Force on Climate-related Financial Disclosures, developing voluntary climate disclosure frameworks. We reaffirm commitment to these recommendations, engaging 1,400+ portfolio companies in 2020 and more than 30 external investment managers to influence how they manage climate risks and address climate issues.

Per Sustainalytics, AIA ranked 2nd in insurance for ESG risk management for the second consecutive year, and in 2020, MSCI upgraded AIA's ESG rating to A, primarily due to our integration of ESG factors into our investment function.

We recognize significant work remains in this area. We recently completed our Environmental, Social and Governance strategy review. I am confident our five strategic priorities?wellbeing, green operations, sustainable investment, talent and culture, and governance?will help us lead the industry in environmental, social and governance matters.

Outlook

In 2020, COVID-19 was the largest public health emergency in living memory. Affected businesses and households received unprecedented public and monetary support, mitigating extreme financial shocks and accelerating recovery, particularly evident in countries with sound health policies. However, significant differences exist between nations. Asia (ex-Japan) recorded the strongest global GDP growth. The global economy is emerging from deep recession into early recovery stages.

Though pandemic impacts persist, 2021 should be transitional; we remain cautiously optimistic. Markets anticipate vaccination programs and new therapies reducing infection rates and severity, enabling healthcare systems to respond effectively and lower mortality. While we don't expect pre-pandemic activity levels near-term, as confidence recovers, recovery should gradually expand from manufacturing to consumer and service sectors, especially in younger-population countries.

I'm confident in AIA's long-term prospects. Despite near-term uncertainties, strong domestic demand drivers and Asia's key demographic trends provide positive structural support. Rising incomes, low insurance penetration, and limited social welfare coverage drive continued demand for AIA products. We'll leverage our competitive advantages and strong growth track record to build sustainable futures and create shared value for all stakeholders.

Lee Yuan Siong

Group CEO & President

12 March 2021

Growth rates at constant exchange rates provide clearer year-on-year business performance.

Financial & Operations Review

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Group CFO's Review

Despite unprecedented 2020 conditions, AIA achieved strong results. New business value impacted by mobility restrictions from pandemic, we grew after-tax operating profit and core free surplus. Financial position remains robust, enabling continued investment in growth.

Growth rates on constant exchange rate basis.

Overview & Key Financials

2020 delivered strong results amid pandemic conditions. Mobility restrictions reduced new business value, but sales recovered as restrictions eased. Momentum continued into 2021, with new business value up 15% in first two months vs 2020. Prudent management and focus on quality business drove continued growth in after-tax operating profit, core free surplus, robust capital, and higher dividends per share.

Mr. Garth Jones
Group CFO

Pandemic's main impact on 2020 financial performance was new business sales, constrained by containment measures across markets.

face-to-face sales, especially H1 2020. New business value of $2.765B in 2020 fell 33% vs 2019, yet

we rapidly adopted digital tools; easing restrictions supported sales recovery. China drove largest contribution to 2020 new business value and showed first momentum recovery.

as that region eased lockdowns from March 2020. Excluding subdued mainland visitor sales to Hong Kong, other segments' new business showed strong

recovery in H2, up 23% vs H1. Group momentum remained strong into 2021, with new business value in first two months up 15% vs 2020.

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period in 2020.

Embedded value equity reached $67.185B at 31 Dec 2020, up $5.277B before $1.997B dividends, driven by $7.243B operating profit offsetting lower bond yields.

Embedded value operating profit includes $549M positive variances, reflecting favorable experience vs assumptions.

variances of $549M, as experience continues favorable vs embedded value assumptions.

High-quality recurring earnings and active portfolio management drove after-tax operating profit growth of 5% to $5.942B,

maintaining 16.9% operating margin. Renewal premiums up 10%; recurring premiums represent 90%+ of 2020 premiums.

Growth benefited from significantly favorable claims experience, offsetting lower yields on new fixed income and reduced equity return assumptions.

Unusually favorable medical claims in H1 didn't recur in H2, but positive contributions continued to after-tax operating profit growth.

With AIA Thailand's lapse experience normalizing, renewal rates improved in the second half, with the Group's renewal rate at 95%.

renewal rate at 95%.

Generated free surplus of $5.843B, up 7%, from continued portfolio growth and active management, offsetting lower expected investment returns.

At 31 Dec 2020, Group's financial position remained very strong, with free surplus of $13.473B after

$1.997 billion.

As at 31 December 2020, our principal operating company AIA Co. maintained a very strong solvency ratio of

489%. At 31 Dec 2020, under new group framework, local capital aggregation coverage was 374%. Going forward, we'll disclose this as primary regulatory solvency measure.

Group local capital aggregation coverage as primary regulatory solvency measure.

Board recommends final dividend increase of 7.5% to HK$1.0030/share, subject to shareholder approval. Full year 2020 dividend:

HK$1.3530/share, up 6.9% from 2019. Reflects AIA's prudent, sustainable, progressive dividend policy, enabling growth while maintaining financial flexibility.

sustainable, progressive dividend policy enables future growth while maintaining financial flexibility.

We remain confident in AIA's Asia opportunities. We'll focus on deploying capital for profitable growth, leveraging competitive advantages while maintaining prudent management and long-term shareholder value.

while maintaining prudent financial management and delivering long-term shareholder value.

New Business Performance

NBV, ANP & Profit Margin by Segment

USD m **NBV**	**NBV** **Margin** **ANP** **NBV**		

2020 NBV of USD 2.765bn declined 33% from 2019. We rapidly adopted digital tools; mobility restrictions easing supported sales recovery.

China contributed largest share to Group NBV in 2020, first segment showing recovery driven by gradual easing of lockdowns from March 2020.

Excluding mainland visitor sales to Hong Kong, other segments showed strong recovery in H2, up 23% vs H1. Group momentum remained strong into 2021, up 15% in first two months vs 2020.

China was largest contributor to Group NBV in 2020. Travel restrictions halted mainland visitor sales to Hong Kong from Feb 2020, causing significant NBV decline. Profit margin declined due to underwriting overruns, product mix changes and lower rates.

Macau resumed individual visit scheme in late Sept 2020, supporting recovery in mainland visitor sales, contributing over one-third of Macau ANP in Q4.

China recorded strong momentum in 2021, with first two months NBV showing robust growth vs 2020. 2020 NBV of USD 968m declined 17% from 2019, mainly due to limited Q1 sales during COVID-19 outbreak.

As mobility eased, momentum improved rapidly. NBV resumed typical seasonal pattern with greater emphasis on H1. China was largest contributor to Group NBV in 2020.

Travel restrictions halted mainland visitor sales to Hong Kong from Feb 2020, causing significant NBV decline. Profit margin declined due to underwriting overruns, product mix and lower rates. Macau resumed individual visits in late Sept 2020, supporting recovery.

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Travel restrictions halted mainland visitor sales to Hong Kong from Feb 2020, causing significant NBV decline. Profit margin declined due to underwriting overruns, product mix changes and lower rates.

Macau resumed individual visit scheme in late Sept 2020, supporting recovery in mainland visitor sales, contributing over one-third of Macau ANP in Q4.

In 2020, AIA China business was the largest contributor to the Group's new business value.

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